

Finance Reimbursement and Payment Processing Policy

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Department: Finance Operations

Process Area: Reimbursement, Payment Request, and Settlement

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Document Owner: Finance Operations Manager

1. Purpose

This policy defines the process for reimbursing approved business expenses and processing payment requests through the ERP system. It ensures that payments are made only after proper validation, approval, documentation, and audit checks.

The policy supports transparent finance operations by maintaining a complete digital record of each reimbursement case from submission to payment completion.

2. Scope

This policy applies to:

- Employee reimbursements
- Travel expense reimbursements
- Prepaid travel cost settlements
- Approved declaration payments
- Local supplier-related reimbursements

- International payment reimbursements
- Approved business expense settlements

This policy does not apply to payroll, salary advances, personal loans, or direct procurement payments handled under separate procurement policies.

3. Reimbursement Eligibility

An expense is eligible for reimbursement only if:

- It was incurred for an approved business purpose
- It is linked to a valid ERP case, declaration, travel permit, or approval record
- It is supported by a valid receipt, invoice, or scanned document
- It was submitted within the required time period
- It complies with finance policy limits
- It has received the required approvals

Expenses that do not meet these conditions may be rejected or returned for clarification.

4. Required Information

Each reimbursement request must contain:

- Reimbursement case ID
- Employee ID or claimant reference
- Department

- Cost center
- Budget number
- Related declaration ID or travel permit ID
- Expense date
- Expense type
- Claimed amount
- Approved amount
- Currency
- Payment method
- Bank account reference or employee payment profile
- Supporting document ID
- Approval status

5. Supporting Documents

The following documents may be required:

- Receipt
- Invoice
- Travel ticket
- Hotel bill
- Payment confirmation
- Approved declaration
- Approved travel permit
- Scanned claim form
- Currency conversion evidence

- Manager approval note

Documents must be readable and must match the claimed amount, date, and expense type. Finance Officers are responsible for validating supporting documents before payment.

6. Reimbursement Workflow

The reimbursement workflow is:

- Step 1: Claimant submits reimbursement request in the ERP system.
- Step 2: ERP system checks mandatory fields and linked approval records.
- Step 3: Supervisor confirms business relevance.
- Step 4: Budget Owner validates budget availability.
- Step 5: Finance Officer verifies amount, receipts, tax details, and duplicate risk.
- Step 6: Finance Manager approves payment if required.
- Step 7: Payment Officer schedules payment.
- Step 8: ERP system records payment completion and closes the case.

7. Approval Thresholds

The following approval thresholds apply:

- Up to LKR 15,000: Supervisor approval and Finance Officer validation
- LKR 15,001 to LKR 75,000: Budget Owner approval required
- LKR 75,001 to LKR 250,000: Finance Manager approval required
- Above LKR 250,000: Senior Finance approval required

- Foreign currency reimbursement: Finance Manager approval required
- Missing or unclear receipt: Exception approval required

8. Payment Processing Rules

Payments must not be processed until the reimbursement case is fully approved. Payment Officers must verify:

- Final approval status
- Approved amount
- Payment method
- Claimant identity
- Bank or payment profile validity
- Duplicate payment risk
- Payment batch status

Payment status must be updated in the ERP system after the transaction is completed.

9. Partial Approval

Finance may partially approve a reimbursement if only part of the claim is valid. In such cases, the ERP system must record:

- Original claimed amount
- Approved amount
- Rejected amount
- Reason for partial rejection

- Finance Officer comment

The claimant must be able to view the partial approval reason.

10. Rejection Reasons

A reimbursement may be rejected for the following reasons:

- Missing receipt or invoice
- Expense is personal or unrelated to business
- Expense exceeds policy limit
- Duplicate claim detected
- Claim submitted after deadline without justification
- Budget number is invalid
- Approval record is missing
- Supporting document does not match claim details
- Suspected fraud or compliance issue

11. Duplicate Payment Prevention

The ERP system must check duplicate risk using:

- Claimant ID
- Receipt number
- Invoice number
- Expense date

- Claimed amount
- Vendor name
- Declaration ID
- Travel permit ID
- Payment reference number

If a duplicate risk is found, the payment must be placed on hold until Finance reviews it.

12. Prepaid Travel Cost Settlement

If an employee has received prepaid travel cost, the final reimbursement must compare:

- Prepaid amount
- Actual approved expense
- Balance payable to employee
- Balance recoverable from employee

If actual expense is less than the prepaid amount, the difference must be recovered or adjusted through finance settlement. If actual expense is higher, the additional amount may be reimbursed after approval.

13. Audit Trail Requirements

Each reimbursement case must maintain:

- Submission timestamp
- Approval timestamps

- Reviewer roles
- Payment processing timestamp
- Payment reference
- Status changes
- Supporting document IDs
- Finance comments
- Exception approval notes

The audit trail must not be manually deleted.

14. Data Retention

Reimbursement records and supporting documents must be retained for at least 7 years. Historical reimbursement data must remain accessible for audit, reporting, fraud investigation, and AI-based knowledge retrieval.

15. ERP and AI-Ready Data Requirements

To support AI-based retrieval and analytics, reimbursement records should be transformed into a structured format containing:

- Case ID
- Process type
- Activity sequence
- Claimant details
- Approved amount
- Currency

- Expense category
- Linked declaration
- Linked travel permit
- Linked document IDs
- Payment status
- Duration between submission and payment
- Rejection or exception reason, if applicable

16. Policy Exceptions

Any exception to this policy must be approved by the Finance Manager and recorded in the ERP system with a reason. Informal approvals outside the ERP system are not valid for payment processing.

17. Review Cycle

This policy must be reviewed annually by the Finance Operations Manager and updated based on audit findings, regulatory requirements, or ERP process changes.